

1. **Method:** The valuation should be performed using NAV and CCM Method only (No DCF and CTM)
2. **User inputs:**
 - a. **Company and contact details:** Name of the company, name of the individual, Designation, Email Id and contact number (at minimum)
 - b. **Financial Information:** LTM Revenue, EBITDA and PAT
 - c. Balance Sheet Information as of Valuation date cash, surplus investments, debt, lease liabilities, any surplus assets, any surplus liabilities;
3. **Valuation Matrix:** User should be given an option to select a matrix basis which the valuation is to be done – i.e. whether EV / Revenue, EV / EBITDA or P/E;
4. **Comparable companies**
 - a. A drop down of sector and sub sectors should be given for user to select;
 - b. The user should be able to screen comparable companies based on any of the following parameters:
 - i. Revenue size
 - ii. EBITDA size
 - iii. PAT size
 - iv. EBITDA margin
 - v. PAT margin
 - c. For each selected parameter, the user should be able to define a benchmark or threshold value. For example:
 - i. Revenue threshold
 - ii. Absolute EBITDA threshold
 - iii. Absolute PAT threshold
 - iv. EBITDA %
 - v. PAT %

Comparable companies should be identified based on the selected threshold criteria.

- d. **Comparable Company Limits** - A maximum of 10 comparable companies should be selected for any given screening criteria.

- e. Multiples of above companies should be directly given as per Cline (not as per our computation)
- f. Multiples of individual companies along with median and average should be given

5. Valuation

- a. Valuation should be done basis median multiple of comparable companies
- b. No adjustments / premium / discount of any nature should be incorporated
- c. Adjustments for control premium and DLOM should also not be done
- d. Range should be basis +/- 5%

6. Caveats - Appropriate caveats should be given including

- a. The valuation has been generated by an automated software tool and not by Deloitte professionals.
- b. Financial and market data are sourced directly from external databases without manual intervention by Deloitte.
- c. Comparable companies are identified based on database classifications and statistical mapping using the criteria selected by the user.
- d. Certain valuation adjustments, discounts, or premiums that may be relevant in specific circumstances have not been considered in the valuation.
- e. The valuation output does not constitute a Deloitte opinion, recommendation, or professional valuation report.

Touchless Valuation for E-Vardhan

Touchless Valuation for E-Vardhan is a deterministic, automated company valuation tool built for private company valuation using publicly available financial data and comparable market multiples. The system eliminates manual effort in the comparable company analysis workflow by providing a structured, step-by-step process — from financial data input through sector-based peer screening to final Comparable Companies Method valuation with full auditability. The tool was designed to the business-team specification and operates entirely without external price feeds or subjective adjustments, making it self-contained and traceable from input to output.

Methodology

The valuation engine implements the Comparable Companies Method as its core valuation approach. No discounted cash flow modeling or comparable transactions are included. The user selects one or more valuation multiples — EV/Revenue, EV/EBITDA, or P/E — and the system computes the median multiple from the selected comparable companies. Every conclusion is built on the median, not the average, to resist outlier distortion. No premiums or discounts — no control premium, no DLOM, no liquidity discount — are ever applied. The final indicative value is always reported as $\pm 5\%$ around the median-based conclusion, which is the range the specification requires.

Each result is accompanied by five mandatory caveats covering the absence of a market price for a private subject company, the reliance on published Capitaline multiples, the dependency on peer quality and selection criteria, the non-binding nature of the output, and the fact that no control premium or DLOM has been applied unless explicitly stated by the user.

Data Pipeline

The system ships with a pre-built dataset — valuation-grade listed Indian companies across 84 sectors and 294 sub-sectors. Each entry carries published P/E, EV/EBITDA, EV/Revenue, PAT, EBITDA margin, and revenue data sourced directly from Capitaline. The database is generated from raw Capitaline Excel extracts through an ETL pipeline that parses the source spreadsheets, normalizes sector and sub-sector taxonomies, and compiles the structured data. The database is included with the application so it runs immediately; users can refresh it at any time by dropping new extracts into the designated input directory and re-running the ETL module.

User Workflow

The application follows a progressive five-step wizard interface:

- **Step 1 — Input Company Financials:** The user enters the subject company's name, contact details, and four mandatory financial figures — revenue, EBITDA, PAT, and net worth. The system also allows optional inputs for debt, lease liabilities, and cash, which are used in net-debt calculations for the report.
- **Step 2 — Screening & Peer Selection:** The user selects a sector and optionally a sub-sector. Up to five filtering thresholds become progressively available: revenue size, EBITDA size, PAT size, EBITDA margin, and PAT margin. Each threshold accepts a comparative operator and a numeric value. As filters are applied in real time, the system reports the number of qualifying companies. The peer table displays results only when the qualified count is 20 or fewer; beyond that, a warning banner prompts the user to tighten filters. The user selects between 1 and 10 comparable companies from the filtered list by checking boxes.
- **Step 3 — Valuation Method Selection:** The user chooses one or more valuation matrices — EV/Revenue, EV/EBITDA, and/or P/E — from a set of selectable cards. Multiple methods can be active simultaneously, producing parallel valuation tracks.
- **Step 4 — Valuation Results:** The system applies the selected valuation matrices using the median of the peer multiples. Results are displayed as a primary valuation value with the $\pm 5\%$ range and a valuation verdict indicating whether the company appears overvalued, undervalued, or fairly valued relative to its net asset base. Per-matrix breakdowns are also shown, displaying each peer's multiple alongside the computed median.
- **Step 5 — Report:** A detailed HTML report is generated containing the subject company profile, screening methodology, peer-by-peer comparison tables, calculation steps, sector information, and all required caveats. The report supports direct print-to-PDF output.

Key Design Decisions

- **Deterministic and transparent:** every result carries a full trace of which comparables were used, which thresholds were applied, and what multiple was computed.
- **Progressive filtering:** screening criteria unfreeze one by one to ensure the user never gets locked out, while preventing over-constrained selections.
- **Peer count cap:** the peer list is hidden when results exceed 20 companies, nudging users toward meaningful screening rather than arbitrary selection from hundreds of options.

- Flexible peer selection: the system accepts 1 to 10 selected peers rather than requiring exactly 10, making the tool usable even for niche sub-sectors with limited comparable companies.